

GCC 360

Policy, Economics & Market Access Insights



ABOUT THE EXPERT CONTRIBUTOR

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His research covers Gulf economic diversification, industrial policy, trade, labour markets, the knowledge economy, climate change, and the political economy of Gulf states. His policy research has been published at global institutions, including the London School of Economics, the Arab Gulf States Institute in Washington, the Gulf International Forum, and the Washington Institute for Near East Policy. His expert commentary appears in news outlets like the New York Times, The Washington Post, DW, AFP, Al-Monitor, Orient XII, The National, and The Peninsula, and he has been an on-air expert for the BBC, Al Jazeera, CGTN, and others.

His academic articles have been published in leading journals like the Economic Journal, the Proceedings of the National Academy of Sciences, the American Economic Journal, and the Journal of the European Economic Association, and have been cited close to 1000 times.



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1. MACRO ECONOMIC BASELINE

	Saudi Arabia	UAE	Qatar	Kuwait	Bahrain	Oman
Inflation (CPI y/y)	1.8% (Jul)	2.0% (Dec '25)*	2.2% (Jun)	2.2% (Jun)	2.3% (Jun)	3.2% (Jul)
Activity (PMI, Aug m/m)	53.8 (+0.7)	55.3 (+2.6)	47.6 (-0.9)	53.6 (+2.8)	N/A	N/A
Equity (Aug m/m)	+5.0%	+2.7%	+0.2%	+4.0%	-3.4%	+4.5%

Monetary & currency anchor. Gulf policy rates track the Federal Reserve, which raised its target range to 3.75–4.00% on 16 September, its first hike since 2023, and signalled at least one more this year.

The Gulf's dollar pegs import that tightening in lockstep, so regional policy rates step up with it even as imported inflation stays contained. Inflation is contained across the bloc (1.8–3.2%) as of June/July data, and August non-energy activity is expansionary everywhere the PMI is published except Qatar (47.6, still below 50 on LNG-linked weakness). Equities recovered broadly in August, Saudi Arabia leading at +5.0%.

*** UAE CPI is the latest published data (Dec 2025), as the FCSC has released nothing fresher. Maritime-trade flows are omitted this month: August port data is distorted by collapsed-base effects on the Hormuz-exposed states, and is discussed where it matters in the Feature.**

2. FEATURE ANALYSIS

Stability holds, exposure divides: the war is repricing Gulf risk while Gulf money holds firm

Six months into the war, the striking feature of Gulf monetary conditions is how little has moved. Inflation sits between 1.8% and 3.2% across the bloc, the dollar pegs are intact, and even as the Federal Reserve raised its range to 3.75–4.00% on 16 September, they transmit that tightening uniformly, so the region's monetary stance moves in step rather than diverging.

For all the disruption to physical trade, the Gulf's monetary anchor has not been the fault line of this conflict.

Rather, the fault line is external and fiscal exposure. It runs between the economies concentrated in hydrocarbons and those that are not. The clearest in-window signal came in early September, when Fitch affirmed Qatar at AA and, more tellingly, removed the Rating Watch Negative it had imposed after the March strike on Ras Laffan, moving the sovereign to a negative outlook.

The shift from a watch to an outlook reads as the disruption's risk easing rather than deepening, even as Fitch still expects Qatari GDP to contract by roughly 19% this year and does not assume LNG exports resume through Hormuz until early 2027. Yet, Qatar's stability is not in doubt, and the disruption does not spill over from lost output and deferred revenue to the currency.

Meanwhile, Bahrain's Q1 real GDP fell 3.8%, the first quarterly contraction since 2021, as oil activity dropped 37.2% on Hormuz restrictions. Yet the non-oil economy still grew 2.2%, led by financial services at 8.6%. The headline contraction and the non-oil expansion mean that the war shock weighs on the hydrocarbon leg, while the diversified leg keeps compounding. In Bahrain, the war is thus not only waging economic destruction but also catalysing pre-war sectoral trends.

A clear-eyed and regionally nuanced view of the war should therefore guide capital allocation. Money is still moving toward the diversified hubs: the UAE continues to attract corporate relocations, DIFC convenes global finance in September, and the Dubai investment-summit circuit remains busy. The monetary-stability case for the Gulf is intact, but it is no longer uniform. It is strongest where the economy is least exposed to a single chokepoint, and thinnest where hydrocarbons still need to cross the Strait to keep the economy afloat.

Decision relevance. For treasurers and investors, the takeaway is that GCC currency and inflation risk remains low and broadly uniform. The exposure that currently matters more is fiscal and external, and it is concentrated: hydrocarbon-heavy sovereigns (Qatar, Bahrain, and by extension oil-weighted balance sheets) carry the war's revenue and rating risk, while diversified, services-led economies (the UAE, and Saudi Arabia's non-oil sector) are absorbing the shock and still drawing capital. Price Gulf exposure by economic structure, not by monetary policy. Fitch's rating is a signal that the risk is stabilising, but current events from strikes on tankers to Yemen to a US 10-year Treasury yield near 5% suggest that it is far from over.

3. STRATEGIC BUSINESS THEMES, SECTOR SPOTLIGHTS, RISKS & FORWARD-LOOKING INDICATORS

Strategic Outlook / National Initiatives

The war is redirecting strategic spending from expansion toward security of flow. In late August, Reuters reported an acceleration of Gulf infrastructure investment in pipelines and ports, designed to route oil around the Strait of Hormuz. This bypass build-out turns a long-discussed hedge into a funded priority. Alongside it runs a more pointed fiscal question, framed this month as whether Saudi Arabia can finance both the war and Vision 2030 at once: the giga-project programme was already being trimmed on oil-price grounds before the conflict, and the war forces the choice between diversification bets and the security and resilience assets. That pressure increased in mid-September, when Houthi forces seized Yemen's entire Red Sea coast and the islands commanding Bab el-Mandeb, struck Saudi facilities inland, and forced the shutdown of a major oil pipeline. A second Saudi export route is now effectively blocked while Hormuz stays near-halted.

Business Environment, Sector Drivers & Opportunities

The operating environment is bifurcating along the same line as the macro data: financial and business services are where growth and opportunity concentrate while hydrocarbon-linked activity currently absorbs the disruption (with replacement and expansion investments in the offing). In-window activity like in the aforementioned GCC financial sector has driven fresh corporate expansions in the UAE in early September. The policy backdrop remains favourable: Saudi Arabia's 2026 reform package (a new Companies Law, a registration-based Investment Law, and CMA rules opening the Main Market to all foreign investors) took effect earlier this year and continues to lower the barriers to entry, even though no new measure landed inside this reporting window.

Cabinet Reshuffles

None this period. The most recent GCC ministerial changes, Saudi Arabia's and Kuwait's reshuffles, date to February 2026 and fall outside this window.

4. WHAT TO WATCH

1. The Fed's rate path.

The Fed raised its range to 3.75–4.00% on 16 September, its first hike since 2023, and its projections suggest at least one more this year. Because Gulf currencies are pegged, this tightening passes straight through to regional policy rates. Watch the pace of further hikes, since each one lifts GCC borrowing costs in lockstep, at a time when Gulf borrowing need is increasing.

2. Terms of any Hormuz reopening

Iran and Oman had agreed a temporary route in late August, but full reopening remains blocked until the United States meets its commitments under the lapsed June deal, and the subsequent escalation has stalled progress. Watch whether the temporary arrangement holds, and on what conditions (transit fees, vessel-flag restrictions) any permanent reopening is set. The terms will set routing, compliance and war-risk costs for every Gulf shipper.

3. Qatar Q2/H1 hydrocarbon and fiscal data.

The first hard data on the LNG-export hit that underlies Fitch's -19% projection, and a test of whether the recovery Fitch assumes for early 2027 is on track.

4. Military escalation between Yemen and Saudi Arabia.

With Houthi forces now holding Yemen's Red Sea coast and the approaches to Bab el-Mandeb, the war's second front directly threatens Saudi exports and Red Sea shipping. The cycle of escalation and détente still urges caution about serious peace talks, though all parties have an incentive to come to terms. Watch whether this advance forces negotiations or a wider closure of the strait, and the durability of any ceasefire and Hormuz deal that follows.



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